SUMMARY

- Ethics refers to the study of making good choices. Ethics encompasses a set of moral principles and rules of conduct that provide guidance for our behavior.
- Situational influences are external factors that may shape our behavior.
- Challenges to ethical behavior include being overconfident in our own morality, underestimating the effect of situational influences, and focusing on the immediate rather than long-term outcomes or consequences of a decision.
- In any given profession, the code of ethics publicly communicates the established principles and expected behavior of its members.
- Members of a profession use specialized knowledge and skills to serve others; they share and agree to adhere to a common code of ethics to serve others and advance the profession.
- A code of ethics helps foster public confidence that members of the profession will use their specialized skills and knowledge to serve their clients and others.
- A profession is an occupational group that has specific education, expert knowledge, and a framework of practice and behavior that underpins community trust, respect, and recognition.
- The requirement to uphold high ethical standards is one clear difference between professions and craft guilds or trade bodies.
- A primary goal of professions is to establish trust among clients and among society in general.
- Common characteristics of professions include normalization of practitioner behavior, service to society, client focus, high entry standards, a body of expert knowledge, encouragement and facilitation of continuing education, monitoring of professional conduct, collegiality, recognized overseeing bodies, and encouragement of member engagement.
- The investment management profession has become increasingly global, driven by the opening of capital markets, coordination of regulation across borders, and the emergence of technology.
- Investment management professionals are trusted to draw on a body of formal knowledge and apply that knowledge with care and judgement. In comparison to clients, investment professionals are also expected to have superior financial expertise, technical knowledge, and knowledge of the applicable laws and regulations.
- As a professional body, CFA Institute gathers knowledge from practicing investment professionals, conducts rigorous examinations, and ensures practitioner involvement in developing its codes and values.
- Investment management professionals are likely to encounter dilemmas, including those with ethical implications. Professionals should consider carefully how to determine the facts of the issue and assess the implications.
- High ethical standards always matter and are of particular importance in the investment management profession, which is based almost entirely on trust. Clients trust investment professionals to use their specialized skills and knowledge to serve clients and protect client assets. All stakeholders gain long-term benefits when investment professionals adhere to high ethical standards.
- Legal standards are often rule based. Ethical conduct goes beyond legal standards, balancing self-interest with the direct and indirect consequences of behavior on others.

wise decisions, and limit unintended consequences.

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PM good summary of the course on ethics introduction

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MO Q11: An ethical decision-making framework will most likely:

A. include a pre-determined, uniform sequence.

B. focus exclusively on confirmable facts and relationships.

C. help avoid a decision that has unanticipated ethical consequences.

C is marked as correct. However, you can't possibly avoid a decision that has UNANTICIPATED ethical consequences—the phrase “avoid a decision that has unanticipated ethical consequences” is logically flawed because, by definition, it is impossible to anticipate the unanticipated. The question is not ethically structured in regards to the test taker.

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